HB3048 FA1 TedfordMa-MJ
3/11/2026 9:55:34 am

FLOOR AMENDMENT

HOUSE OF REPRESENTATIVES
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend HB3048 ______________________
Of the printed Bill

Page __________ Section __________ Lines ______________
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Amendment submitted by: Mark Tedford

Adopted: ______________________________

____
Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR
HOUSE BILL NO. 3048 By: Tedford of the House

and

Reinhardt of the Senate

FLOOR SUBSTITUTE

An Act relating to insurance; amending 36 O.S. 2021, Section 1100.1, which relates to definitions used in the Unauthorized Insurers and Surplus Lines Insurance Act; modifying definitions; defining terms; amending 36 O.S. 2021, Section 1101, which relates to representation of unauthorized insurers prohibition; expanding statute to include nonadmitted insurers selling nonadmitted insurance coverage; amending 36 O.S. 2021, Section 1101.1, which relates to domestic surplus line insurers; removing licensee; amending 36 O.S. 2021, Section 1103, which relates to service of process on a surplus lines insurer; establishing that nonadmitted insurers assuming insurance in this state are subject to this act; permitting suits against nonadmitted insurer; amending 36 O.S. 2021, Section 1106, which relates to surplus lines and brokers; permitting purchase of insurance from eligible surplus lines insurers; directing for surplus lines insurance to be procured through a licensed surplus lines broker in insured's home state; amending 36 O.S. 2021, Section 1107, as amended by Section 4, Chapter 195, O.S.L. 2024 (36 O.S. Supp. 2025, Section 1107), which relates to multistate risk, required application and informational filings, and fee payments; modifying statute to apply to only surplus lines brokers and not licensees; amending 36 O.S. 2021, Section 1108, which relates to recognized surplus lines; requiring surplus lines broker to provide insured the policy or other evidence of insurance within thirty days; providing required content of certificates and policies; allowing the Insurance Commissioner rulemaking authority; amending 36 O.S. 2021, Section 1109, which relates to validity of surplus line insurance and notice of limitations of coverage; requiring notice on declaration page of the policy; amending 36 O.S. 2021, Section 1111, which relates to acceptance of surplus line business by brokers; clarifying that only a surplus lines broker and not a licensee may accept and place surplus lines insurance; extending section to include producers and agents; amending 36 O.S. 2021, Section 1112, which relates to solvent insurer required, license revocation, and penalties; modifying language for clarity; amending 36 O.S. 2021, Section 1113, which relates to records of surplus lines licensees or brokers; removing applicability to licensees; modifying time frame for record keeping from three to five years after contract effective date; amending 36 O.S. 2021, Section 1114, as amended by Section 5, Chapter 195, O.S.L. 2024 (36 O.S. Supp. 2025, Section 1114), which relates to broker's annual statement; adding clarifying language; amending 36 O.S. 2021, Section 1115, which relates to tax on surplus lines; removing premium tax for premiums charged for independently procured insurance; amending 36 O.S. 2021, Section 1116, which relates to penalty for failure to remit tax; extending applicability of section to rules; requiring notice and opportunity for hearing; allowing additional applicable penalties; amending 36 O.S. 2021, Section 1118, which relates to legal process against surplus lines insurer; removing licensees; amending 36 O.S. 2021, Section 1120, which relates to records of insureds; clarifying section applies to producer or surplus line broker; amending 36 O.S. 2021, Section 6414, as amended by Section 2, Chapter 358, O.S.L. 2022 (36 O.S. Supp. 2025, Section 6414), which relates to the Market Assistance Association; modifying the provisions of the plan of operation to provide economic, fair and nondiscriminatory administration; repealing 36 O.S. 2021, Section 1106.2, which relates to exemption from due diligence search and flood insurance; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 36 O.S. 2021, Section 1100.1, is amended to read as follows:

Section 1100.1. As used in the Unauthorized Insurers and Surplus Lines Insurance Act:

1. "Admitted insurer" means, with respect to a state, an insurer that is licensed to transact the business of insurance in such state;

2. "Affiliate" means, with respect to an insured, any business entity that controls, is controlled by, or is under common control with the insured;

3. "Affiliated group" means any group of entities that are all affiliated;

4. "Business entity" means a corporation, association, partnership, limited liability company, limited partnership, or other legal entity;

5. "Control" means, with respect to an insured:

a. a person who, either directly or indirectly, or acting through one or more other persons, owns, controls, or has the power to vote twenty-five percent (25%) or more of any class of voting securities of the business entity, or

b. an entity controls in any manner the election of a majority of the directors or trustees of the business entity;

6. "Eligible surplus lines insurer" means a nonadmitted insurer with which a surplus lines broker may place surplus lines insurance pursuant to Section 1106 of this title;

7. "Home state" means:

a. except as provided in subparagraphs b through e of this paragraph, with respect to an insured:

(1) the state in which an insured maintains its principal place of business or, in the case of an individual, the individual's principal residence, or

(2) if one hundred percent (100%) of the insured risk is located out of the state referred to in division (1) of this subparagraph, the state to which the greatest percentage of the insured's taxable premium for the insurance contract is allocated,

b. with respect to determining the home state of the insured, "principal place of business" means:

(1) the state where the insured maintains its headquarters and where the insured's high-level

officers direct, control and coordinate the business activities, or

(2) if the insured maintains its headquarters or the insured's high-level officers direct, control and coordinate the business activities outside Oklahoma, the state to which the greatest percentage of the insured's taxable premium for that insurance contract is allocated,

c. with respect to determining the home state of the insured, "principal residence" means:

(1) the state where the insured resides for the greatest number of days during the calendar year, or

(2) if the insured's principal residence is located outside any state, the state to which the greatest percentage of the insured's taxable premium for that insurance is allocated,

d. if more than one insured from an affiliated group are named insureds on a single nonadmitted insurance contract, the term "home state" means the home state, as determined pursuant to division (1) of subparagraph a of this paragraph, of the member affiliated group that has the largest percentage of premium attributed to it under such insurance contract, or

e. when the group policyholder pays one hundred percent (100%) of the premium from its own funds, the term "home state" means the home state, as determined pursuant to division (1) of subparagraph a of this paragraph, of the group policyholder. When the group policyholder does not pay one hundred percent (100%) of the premium from its own funds, the term "home state" means the home state, as determined pursuant to division (1) of subparagraph a of this paragraph, or of the group member;

~~3.~~ <u>8.</u> "Independently procured insurance" means insurance procured by an insured directly from ~~a nonadmitted insurer~~ <u>an eligible surplus lines insurer</u>;

~~4.~~ <u>9.</u> "Licensed" means, with respect to an insurer, authorization to transact the business of insurance in a state by a license, certificate of authority, charter or otherwise;

~~5.~~ <u>10.</u> "Multistate risk" means a risk covered by a nonadmitted insurer with insured exposures in more than one state;

~~6.~~ <u>11.</u> "Nonadmitted insurance" means any property and casualty insurance permitted in a state to be placed directly through a surplus lines ~~licensee or~~ broker with a nonadmitted insurer eligible to accept such insurance. For purposes of the Unauthorized Insurers and Surplus Lines Insurance Act, nonadmitted insurance includes independently procured insurance and surplus lines insurance;

~~7.~~ 12. "Nonadmitted insurer" means, with respect to a state, an insurer not licensed to engage in the business of insurance in such state, but shall not include a risk retention group as that term is defined under applicable federal law;

13. "Person" means an individual or a business entity;

~~8.~~ 14. "Single-state risk" means a risk insured with insured exposures in only one state;

~~9.~~ 15. "Surplus lines insurance" means ~~insurance procured by a nonadmitted licensee or broker from a surplus lines insurer as permitted under the law of the insured's home state~~ any insurance permitted to be placed through a surplus lines broker with an eligible surplus lines insurer, pursuant to Section 1106 of this title; and

~~10. "Surplus lines licensee" or "surplus lines broker"~~

16. "Surplus lines broker" means an individual~~, firm~~ or ~~corporation~~ business entity that is licensed ~~in the insured's home~~ under the laws of this state to sell, solicit, ~~or~~ negotiate, or procure surplus lines insurance, including the agent of record on a nonadmitted insurance policy, on properties, risks or exposures located or to be performed in ~~a~~ this state ~~allowing nonadmitted insurers to do business~~.

SECTION 2. AMENDATORY 36 O.S. 2021, Section 1101, is amended to read as follows:

Section 1101. A. No person in Oklahoma shall in any manner:

1. Represent or assist any nonadmitted insurer in the selling, soliciting, procuring, placing, or maintenance of any nonadmitted insurance coverage upon or with relation to any subject of insurance resident, located, or to be performed in Oklahoma without being a licensed surplus lines ~~licensee or~~ broker as defined in the Unauthorized Insurers and Surplus Lines Insurance Act; or

2. Inspect or examine any risk or collect or receive any premium on behalf of any nonadmitted insurer without being a licensed surplus lines broker ~~or licensee~~ as defined in the Unauthorized Insurers and Surplus Lines Insurance Act.

B. Any person transacting insurance or acting as a surplus lines broker ~~or licensee~~ in violation of this section shall be liable to the insured for the performance of any contract between the insured and the insurer resulting from the transaction.

C. This section shall not apply ~~as~~ to reinsurance, to surplus ~~line~~ lines insurance lawfully procured pursuant to the Unauthorized Insurers and Surplus Lines Insurance Act, to transactions exempt under Section 606 of this title (Authorization of Insurers and General Qualifications), or to professional services of an adjuster or attorney-at-law from time to time with respect to claims under policies lawfully solicited, issued, and delivered outside of Oklahoma.

D. The investigation and adjustment of any claim in this state arising under an insurance contract issued by a nonadmitted insurer shall not be deemed to constitute the transacting of the business of insurance in this state.

E. Nonadmitted insurers shall contract with the trustees of any fund which will insure residents in this state in a manner consistent with the requirements, nature and scope of the Unauthorized Insurers and Surplus Lines Insurance Act.

SECTION 3. AMENDATORY 36 O.S. 2021, Section 1101.1, is amended to read as follows:

Section 1101.1. A. An Oklahoma domestic insurer possessing policyholder surplus of at least Fifteen Million Dollars ($15,000,000.00) may, pursuant to a resolution by its board of directors, and with the written approval of the Insurance Commissioner, be designated as a domestic surplus ~~line~~ lines insurer. Such insurers may write surplus ~~line~~ lines insurance in this state and in any other jurisdiction allowed under the Nonadmitted and Reinsurance Reform Act of 2010.

B. The premiums of a domestic surplus ~~line~~ lines insurer shall be subject to surplus ~~line~~ lines premium tax pursuant to Section 1115 of this title. The surplus lines broker ~~or licensee~~ shall pay all premium taxes to the Insurance Commissioner when Oklahoma is the home state of the insured until and unless in the exercise of his or her sole discretion and judgment, the Insurance Commissioner decides to join the Nonadmitted Insurance Multi-State Agreement or any other multistate agreement or compact with the same function and purpose.

C. A domestic surplus ~~line~~ lines insurer may not issue a policy designed to satisfy the motor vehicle financial responsibility requirement of this state, the Workers' Compensation Code, or any other law mandating insurance coverage by a licensed insurance company.

D. A domestic surplus ~~line~~ lines insurer is not subject to the provisions of the Oklahoma Property ~~&~~ and Casualty Insurance Guaranty Association Act nor the Oklahoma Life and Health Insurance Guaranty Association Act.

SECTION 4. AMENDATORY 36 O.S. 2021, Section 1103, is amended to read as follows:

Section 1103. A. Delivery, effectuation, or solicitation of any insurance contract, by mail or otherwise, within this state by a surplus lines insurer, or the performance within this state of any other service or transaction connected with the insurance by or on behalf of the insurer, shall be deemed to constitute an appointment by the insurer of the Insurance Commissioner as its attorney, upon whom may be served all lawful process issued within this state in any action or proceeding against the insurer arising out of any such contract or transaction.

B. Service of process shall be made by delivering to and leaving with the Insurance Commissioner three copies thereof. At time of service the plaintiff shall pay Twenty Dollars ($20.00) to the Insurance Commissioner, taxable as costs in the action. The

Insurance Commissioner shall mail by registered mail one of the copies of the process to the defendant at any home state address as last known to the Insurance Commissioner, and shall keep a record of all process so served.

C. Service of process in any action or proceeding, in addition to the manner provided herein, shall also be valid if served upon any person within this state who, in this state on behalf of the insurer, is soliciting insurance, or making, issuing, or delivering any insurance policy, or collecting or receiving any premium, membership fee, assessment, or other consideration for insurance.

D. Service of process upon an insurer in accordance with this section shall be as valid and effective as if served upon a defendant personally present in this state.

E. Means provided in this section for service of process upon the insurer shall not be deemed to prevent service of process upon the insurer by any other lawful means.

F. An insurer which has been so served with process shall have the right to appear in and defend the action and employ attorneys and other persons in this state to assist in its defense or settlement.

G. Each nonadmitted insurer assuming insurance in this state, or relative to property, risks, or exposures located or to be performed in this state, shall be deemed to have subjected itself to this act.

H. Notwithstanding conditions or stipulations in the policy or contract, a nonadmitted insurer may be sued upon any cause of action arising in this state, or relative to property, risks, or exposures located or to be performed in this state, under any insurance contract made by it.

SECTION 5.   AMENDATORY   36 O.S. 2021, Section 1106, is amended to read as follows:

Section 1106. If insurance required to protect the interest of the insured for the amount of insurance, coverage terms and solvency requirements of the insured cannot be procured from admitted insurers ~~after inquiry in the market available to the insurance producer~~, then insurance may be procured from eligible surplus lines insurers subject to the following conditions:

1. The surplus lines insurer shall meet the requirements of the Unauthorized Insurers and Surplus Lines Insurance Act and the following conditions:

a. the insurer has capital and surplus or its equivalent under the laws of its domiciliary jurisdiction which equals the greater of:

(1) the minimum capital and surplus requirements under the laws of this state for nonadmitted insurers, or

(2) Fifteen Million Dollars ($15,000,000.00),

b. the requirements of subparagraph a of this paragraph may be satisfied by an insurer's possessing less than the minimum capital and surplus upon an affirmative finding of acceptability by the Insurance Commissioner. The finding shall be based upon such factors as quality of management, capital and surplus of any parent company, company underwriting profit and investment income trends, market availability and company record and reputation within the industry. In no event shall the Insurance Commissioner make an affirmative finding of acceptability when the nonadmitted insurer's capital and surplus is less than Four Million Five Hundred Thousand Dollars ($4,500,000.00), and

c. the insurer, if an alien insurer, is listed on the National Association of Insurance Commissioners Nonadmitted Insurers Quarterly Listing; ~~and~~

2. ~~The~~ If a broker is involved in the transaction in any way, the surplus lines insurance shall be procured through a licensed surplus lines ~~licensee or~~ broker licensed in the ~~insurer's~~ insured's home state. An Oklahoma surplus lines license is required ~~only~~ where Oklahoma is the home state of the insured~~.~~; and

3. For the purposes of carrying out the provisions of the Nonadmitted and Reinsurance Reform Act of 2010, the Insurance

Commissioner is authorized to utilize the national insurance producer database of the National Association of Insurance Commissioners, or any other equivalent uniform national database, for the licensure of an individual or entity as a surplus lines ~~licensee or~~ broker and for renewal of such license.

SECTION 6. AMENDATORY 36 O.S. 2021, Section 1107, as amended by Section 4, Chapter 195, O.S.L. 2024 (36 O.S. Supp. 2025, Section 1107), is amended to read as follows:

Section 1107. A. After procuring any surplus line insurance where Oklahoma is the home state and the insurance involves a multistate risk, the surplus lines ~~licensee and~~ broker shall submit such information relating to the transaction as may be established by the Insurance Commissioner. The data shall be provided to the Insurance Commissioner until and unless in the exercise of his or her sole discretion and judgment, the Insurance Commissioner decides to enter or join the Nonadmitted Insurance Multi-State Agreement or any other multistate agreement or compact with the same function and purpose and other reporting requirements are thereby established.

B. When Oklahoma is the home state of the insured, the surplus lines ~~licensee or~~ broker shall make all informational and tax filings and fee and tax payments electronically in the manner and form required or to be established by the Insurance Commissioner, along with any applicable transaction fees. When Oklahoma is the home state of the insured, the premium tax filings and premium tax payments shall be provided entirely to the Insurance Commissioner until and unless, in the exercise of his or her sole discretion and judgment, the Insurance Commissioner decides to enter or join the Nonadmitted Insurance Multi-State Agreement or any other multistate agreement or compact with the same function and purpose.

C. Failure to file the required information, any required fee payments and make the required premium tax payments in the manner established by the Insurance Commissioner pursuant to this section and Section 1115 of this title where Oklahoma is the home state of the insured shall result, after notice and opportunity for a hearing, in censure, suspension, or revocation of license or a fine of up to Five Hundred Dollars ($500.00) for each occurrence or by both such fine and licensure penalty.

SECTION 7. AMENDATORY 36 O.S. 2021, Section 1108, is amended to read as follows:

Section 1108. A. If a particular insurance coverage or type, class, or kind of coverage is not readily procurable from authorized insurers in Oklahoma, a surplus lines ~~licensee or~~ broker may place the coverage with a nonadmitted insurer or surplus lines insurer as defined in the Unauthorized Insurers and Surplus Lines Insurance Act.

B. Upon placing surplus lines insurance, the surplus lines broker shall, within thirty (30) days, deliver to the insured the policy or, if the policy is not then available, a certificate, cover note, binder, or other evidence of insurance. Each certificate or policy of insurance shall contain or have attached a complete record of all policy insuring agreements, conditions, exclusions, clauses, endorsements, or other material facts that would regularly be included in the policy.

C. The Insurance Commissioner may, in accordance with Section 307.1 of this title, promulgate reasonable rules as are necessary or proper to carry out the purposes of this act.

SECTION 8. AMENDATORY 36 O.S. 2021, Section 1109, is amended to read as follows:

Section 1109. A. Insurance contracts procured as surplus line coverage from surplus lines insurers in accordance with this article shall be fully valid and enforceable as to all parties, and shall be given recognition in all matters and respects to the same effect as like contracts issued by admitted insurers.

B. Insurance contracts procured as surplus line coverage shall contain in fourteen-point, all capital letter, bold-face type notification stamped by the surplus lines ~~licensee or~~ broker or surplus lines insurer on the declaration page of the policy ~~that the contracts are not subject to the protection of any guaranty association in the event of liquidation or receivership of the surplus lines insurer.~~ the following: "NOTICE: A NONADMITTED OR SURPLUS LINES INSURER IS ISSUING THE INSURANCE POLICY THAT YOU HAVE APPLIED TO PURCHASE. THESE INSURERS DO NOT PARTICIPATE IN THE INSURANCE

GUARANTY FUNDS CREATED BY STATE LAW. THE GUARANTY FUNDS WILL NOT PAY YOUR CLAIMS OR PROTECT YOUR ASSETS IF THE INSURER BECOMES INSOLVENT AND IS UNABLE TO MAKE PAYMENTS AS PROMISED." The Commissioner is hereby authorized to promulgate rules to establish further disclosure requirements for the purpose of protecting consumers of surplus line coverage.

SECTION 9. AMENDATORY 36 O.S. 2021, Section 1111, is amended to read as follows:

Section 1111. A surplus lines ~~licensee or~~ broker may accept and place surplus lines insurance from any insurance producer or agent ~~or broker~~ licensed in this state for the kind of insurance involved, and may compensate such insurance producer or agent ~~or broker~~ therefor. The insurance producer or agent ~~or broker~~ shall have the right to receive from the surplus lines insurer the customary commission.

SECTION 10. AMENDATORY 36 O.S. 2021, Section 1112, is amended to read as follows:

Section 1112. A. A surplus lines ~~licensee or~~ broker shall not ~~knowingly~~ place any such coverage with a nonadmitted insurer which is in an unsound financial condition. To be considered financially sound, a surplus lines insurer shall meet the requirements of Section 1106 of this title.

B. For violation of this section, in addition to any other penalty provided by law, the surplus lines broker's license shall be revoked, and the broker shall not again be so licensed within a period of two (2) years thereafter. In addition, any surplus lines ~~licensee and~~ broker who violates this section shall be guilty of a misdemeanor and upon conviction thereof shall be punished for each offense~~,~~ by a fine of not more than One Thousand Dollars ($1,000.00) or by confinement in jail for not more than ninety (90) days, or by both such fine and imprisonment.

SECTION 11. AMENDATORY 36 O.S. 2021, Section 1113, is amended to read as follows:

Section 1113. Each surplus lines ~~licensee or~~ broker licensed in Oklahoma shall keep a full and true record of each surplus lines contract procured by the surplus lines broker, and such record may be examined at any time within ~~three (3)~~ <u>five (5)</u> years ~~thereafter~~ <u>after termination of the contract</u> by the Insurance Commissioner. The record shall include such information required to be submitted as established by the Insurance Commissioner in this article.

SECTION 12. AMENDATORY 36 O.S. 2021, Section 1114, as amended by Section 5, Chapter 195, O.S.L. 2024 (36 O.S. Supp. 2025, Section 1114), is amended to read as follows:

Section 1114. Each surplus lines ~~licensee or~~ broker licensed or transacting business in Oklahoma shall on or before April 1 of each year file electronically, along with any applicable transaction fees, with the Insurance Commissioner a verified statement of all surplus lines insurance transacted by the <u>surplus lines</u> broker during the preceding calendar year where Oklahoma is the home state of the insured. The statement shall be on a form prescribed and furnished by the Insurance Commissioner and shall show such information required to be submitted as established by the Insurance Commissioner. The information shall be provided to the Insurance Commissioner until and unless, in the exercise of his or her sole discretion and judgment, the Insurance Commissioner decides to enter or join the Nonadmitted Insurance Multi-State Agreement or any other multistate agreement or compact with the same function and purpose and other transaction reporting requirements are thereby established.

SECTION 13. AMENDATORY 36 O.S. 2021, Section 1115, is amended to read as follows:

Section 1115. A. Where Oklahoma is the home state of the insured, every person licensed pursuant to Section 1106 of this title shall collect and pay as provided in this section a sum for premium tax based on the total gross premiums charged in connection with any broker-procured surplus lines insurance, less any return premiums, for surplus lines insurance sold to the Oklahoma home-state insureds by the surplus lines broker ~~or licensee~~.

B. Where Oklahoma is the home state of the insured and the insurance covers properties, risks or exposures located or to be performed both in and out of Oklahoma, the sum payable to the Oklahoma Insurance Commissioner shall be computed based on an amount equal to six percent (6%) of the total gross premiums whether the properties, risks or exposures are located or to be performed inside or outside Oklahoma. Any such unearned gross premium credited by the state to the surplus lines broker ~~or licensee~~ shall be returned to the policyholder by the broker ~~or licensee~~. The surplus lines ~~licensee or~~ broker is prohibited from rebating, for any reason, any part of the tax.

C. Where Oklahoma is the home state of the insured, gross premiums charged for independently procured insurance, less any return premiums, are subject to a premium tax at the rate of six percent (6%) payable to the Oklahoma Insurance Commissioner, whether the properties, risks or exposures are located or to be performed inside or outside Oklahoma.

~~D.~~ The Insurance Commissioner is authorized, in the exercise of his or her sole discretion and judgment, to participate in the Nonadmitted Insurance Multi-State Agreement or any other multistate agreement or compact with the same function and purpose for the function of collecting and disbursing to reciprocal states any funds collected pursuant to the Unauthorized Insurers and Surplus Lines Insurance Act applicable to other properties, risks or exposures located or to be performed outside of Oklahoma. Until such time as the Insurance Commissioner may, while not being required to, join such multistate agreement or compact, premium taxes relating to Oklahoma home-state insureds shall continue to be paid and accounted for by nonadmitted insurers through their surplus lines ~~licensees and~~ brokers as provided in subsections A through ~~C~~ B of this section.

~~E.~~ D. When the surplus lines coverage of an Oklahoma home-state insured covers properties, risks or exposures located only in Oklahoma, the surplus lines ~~licensee or~~ broker or self-procuring insured shall pay the surplus lines premium tax payable on such Oklahoma-only risks solely to the Oklahoma Insurance Commissioner.

~~F.~~ E. Should the Insurance Commissioner exercise his or her sole discretion and judgment and decide to join the Nonadmitted Insurance Multi-State Agreement or any other multistate agreement or compact with the same function and purpose, the Insurance Commissioner is authorized in such event to establish a uniform, statewide rate of taxation applicable to lines of nonadmitted insurance. This rate shall encompass all existing rates of taxation, fees and assessments imposed by this state, pursuant to subsections A through ~~C~~ B of this section, and the Insurance Commissioner shall document the method by which the statewide rate is calculated. The Insurance Commissioner is authorized to receive any monies obtained as premium tax received through any multistate agreement he or she may in the future, in his or her discretion, choose to join and then disburse such funds as provided by the Insurance Code and other applicable Oklahoma law.

~~G.~~ F. Should the Insurance Commissioner exercise his or her sole discretion and decide to join the Nonadmitted Insurance Multi-State Agreement or any other multistate agreement or compact with the same function and purpose, the Insurance Commissioner is authorized in such circumstances to utilize or adopt any allocation schedule included in the Nonadmitted Insurance Multi-State Agreement or any other multistate agreement or compact the Insurance Commissioner may enter in the exercise of his or her sole discretion and judgment, which schedule has the function and purpose of allocating risk and computing the tax due on the portion of premium attributable to each risk classification and to each state where properties, risks or exposures are located.

~~H.~~ G. Policies sold to federally recognized Indian tribes shall be reported as provided in Section 1107 of this title; however, these policies shall be exempt from the surplus line premium tax to the extent that the Insurance Commissioner can identify that coverage is for risks which are wholly owned by a tribe and located within Indian Country, as defined in Section 1151 of Title 18 of the United States Code.

~~I.~~ H. The surplus line premium tax on insurance on motor transit operations conducted between this and other states shall be paid on the total premium charged on all surplus line insurance less:

1. The portion of the premium charged for operations in other states taxing the premium of an insured where Oklahoma is the home state; or

2. The premium for operations outside of this state of an insured maintaining its headquarters office outside of this state and branch office in this state.

~~J.~~ I. Flood insurance policies where Oklahoma is the home state of the insured and the insurance covers properties, risks or exposures located in Oklahoma shall be exempt from the surplus line premium tax.

~~K.~~ J. Policies sold to any city or town in this state, incorporated pursuant to law, or to any school district, as defined in Section 1-108 of Title 70 of the Oklahoma Statutes, shall be exempt from the surplus lines premium tax.

SECTION 14. AMENDATORY 36 O.S. 2021, Section 1116, is amended to read as follows:

Section 1116. A. Any surplus lines ~~licensee or~~ broker who fails to remit the surplus line tax provided for by Section 1115 of this title, and any rules promulgated thereto, shall, after notice and opportunity for a hearing, be liable for a civil penalty not to exceed Twenty-five Dollars ($25.00) for each day of delinquency, per policy, and may be subject to any additional applicable penalties set forth in this act and the Oklahoma Producer Licensing Act, Section 1435.1 et seq. of this title. The Insurance Commissioner

~~shall~~ may use any lawful means available to collect the tax ~~by distraint~~ and ~~shall~~ recover the penalty, including, but not limited to, by distraint or by filing an action in the name of the State of Oklahoma. The Commissioner may request the Attorney General to appear in the name of the state by relation of the Commissioner.

B. If any person, association or legal entity procuring or accepting any insurance coverage from a surplus lines insurer where Oklahoma is the home state of the insured, otherwise than through a surplus lines licensee or broker, fails to remit the surplus line tax provided for by Section 1115 of this title, the person, association or legal entity shall, in addition to the tax, be liable to a civil penalty in an amount equal to one percent (1%) of the premiums paid or agreed to be paid for the policy or policies of insurance for each calendar month of delinquency or a civil penalty in the amount of Twenty-five Dollars ($25.00) whichever shall be the greater. The Insurance Commissioner ~~shall~~ may use any lawful means available to collect the tax ~~by distraint~~ and ~~shall~~ recover the civil penalty ~~in~~, including, but not limited to, by distraint or by filing an action in the name of the State of Oklahoma in a court of competent jurisdiction. The Commissioner may request the Attorney General to appear in the name of the state by relation of the Commissioner.

C. In addition to the penalties set forth in subsection A of this section, the Insurance Commissioner may, after notice and opportunity for a hearing, place on probation, censure, suspend, revoke, or refuse to issue or renew the license of any producer and surplus lines broker, and may issue a civil penalty of not more than One Thousand Dollars ($1,000.00) per occurrence, for any one or more violations of this act or any insurance law, regulation, subpoena, or order of the Insurance Commissioner.

SECTION 15. AMENDATORY 36 O.S. 2021, Section 1118, is amended to read as follows:

Section 1118. A. Every surplus lines insurer issuing or delivering a surplus line policy through a surplus lines ~~licensee or~~ broker in this state shall conclusively be deemed thereby to have irrevocably appointed the Insurance Commissioner as its attorney for acceptance of service of all legal process, other than a subpoena, issued in this state in any action or proceeding under or arising out of the policy, and service of process upon the Insurance Commissioner shall be lawful personal service upon the surplus lines or nonadmitted insurer.

B. Each surplus line policy shall contain a provision stating the substance of subsection A of this section~~,~~ and designating the person to whom the Insurance Commissioner shall mail process as provided in subsection C of this section.

C. Triplicate copies of legal process against such an insurer shall be served upon the Insurance Commissioner, and at time of service, the plaintiff shall pay to the Insurance Commissioner

Twenty Dollars ($20.00), taxable as costs in the action. The Insurance Commissioner shall immediately mail one copy of the process so served to the person designated by the insurer in the policy for the purpose, by mail with return receipt requested. The surplus lines or nonadmitted insurer shall have forty (40) days after the date of mailing within which to plead, answer, or otherwise defend the action.

SECTION 16. AMENDATORY 36 O.S. 2021, Section 1120, is amended to read as follows:

Section 1120. Upon request of the Insurance Commissioner any <u>producer, surplus line broker, or</u> person in Oklahoma who is the insured under any policy issued by a surplus lines insurer upon a subject of insurance resident, located, or to be performed in Oklahoma at the time the policy was issued, or where the insured's home state is Oklahoma, shall produce for examination all policies and other documents evidencing and relating to the insurance, and shall disclose the amount of the gross premiums paid or agreed to be paid for the insurance, through whom the insurance was procured, and such other information relative to the placing of the insurance as may reasonably be required by the Insurance Commissioner.

SECTION 17 AMENDATORY 36 O.S. 2021, Section 6414, as amended by Section 2, Chapter 358, O.S.L. 2022 (36 O.S. Supp. 2025, Section 6414), is amended to read as follows:

Section 6414. A. The Association created pursuant to the Market Assistance Association Act shall have the power on behalf of its members to:

1. Require members to issue policies of insurance to applicants, subject to limitations specified in the plan of operation required by the Market Assistance Association Act; irregardless of the type of insurance coverage, the limits of liability for homeowners' liability insurance, shall be governed by the amounts specified in subsection A of Section 154 of Title 51 of the Oklahoma Statutes; and

2. Call upon member insurers who have expertise or familiarity with a particular line of homeowners' liability insurance to assist in underwriting such insurance.

B. The Board after consultation with the Association, the Insurance Commissioner and other affected entities, shall promulgate a plan of operation consistent with the provisions of this section, to become effective no later than ninety (90) days after the date of the inception of the Association.

1. The plan of operation shall provide for economic, fair and nondiscriminatory administration and for prompt and efficient provision of insurance, and shall contain other provisions including, but not limited to, the following:

a. preliminary assessment of all members for initial expenses necessary to commence operations of the Association,

b. establishment of necessary facilities,

c. management of the Association,

d. assessment of members, and assessment of policyholders if a market assistance association for professionals is declared, to defray losses and expenses,

e. establishment of committees as may be necessary to facilitate the administration of the Association,

f. procedures providing that an insured shall have proof that he or she has coverage that has been canceled or nonrenewed by his or her current carrier and has subsequently requested and been refused homeowners' or homeowners' liability coverage from two insurers licensed to do business in this state~~, or that his or her premium has been increased by seventy-five percent (75%) or more from the previous year,~~ before requesting insurance coverage from the Association,

g. appointment of members of the Association on a rotating basis to provide homeowners' and homeowners' liability insurance coverage based upon direct premiums for homeowners' and homeowners' liability insurance, written in the state in the preceding calendar year,

h. procedures for determining amounts of insurance to be provided by members of the Association, and

i. procedures for two or more member insurers to share an insured risk if coverage for that risk is beyond the ability for one insurer

2. The plan of operation shall provide that any balance remaining in the funds of the Association at the close of its fiscal year shall be added to the reserves of the Association and may be used for expenses of the Association or any successor association.

3. Amendments to the plan of operation may be made by the Board.

C. All insurers who are members of the Association shall participate in the Association's writings, expenses, and losses in the proportion that the net direct premiums of each such member written during the preceding calendar year bears to the aggregate net direct premiums written in this state by all members of the Association. Each insurer's proportion of participation in the Association shall be determined annually on the basis of such net direct premiums written during the preceding calendar year, as reported in the annual statements and other reports filed by the insurer that may be required by the board of directors. No member shall be obligated in any one (1) year to write liability insurance business from the Association that would result in the member insurer writing more than ten percent (10%) of its total annual liability insurance, from all lines of liability insurance, from the Association. Likewise, no member shall be obligated in any one (1) year to write homeowners' insurance business from the Association that would result in the member insurer writing more than ten percent (10%) of its total annual homeowners' insurance, from the Association.

D. An applicable insurer ceasing to be licensed or authorized to transact insurance business pursuant to the Insurance Code shall automatically cease to be a member of the Association effective at 12:01 a.m. on the day following the termination or expiration of its certificate of authority and shall no longer be subject to the plan of operation or requirements of the Association; provided, however, such insurer shall remain liable for any annual assessments of the Association based on expenses incurred by the Association while such license or authority was in effect.

SECTION 18. REPEALER 36 O.S. 2021, Section 1106.2, is hereby repealed.

SECTION 19. This act shall become effective November 1, 2026.

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